



Course Outlook

2. Organization

(4 hrs)

- 2.1. *Meaning and concept of organization*
- 2.2. *Characteristics of organization*
- 2.3. *Principles of organization*
- 2.4. *Formal and informal organizations*
- 2.5. *Organization chart*
- 2.6. *Types of organization-line*
 - 1. *Line and staff*
 - 2. *Functional and matrix.*
- 2.7. *Authority and responsibility and their interrelationships*

- An organization is a structured social unit of people (individuals or groups) that is deliberately constructed and reconstructed to pursue specific goals.
- It involves the arrangement of people and resources to work together effectively.

A group of people working together in a structured way to achieve common goals.



Concept of Organization

- **Structure:** A framework that defines roles, responsibilities, and relationships.
- **Purpose:** A shared objective or set of goals that the organization aims to achieve.
- **People:** Individuals working collectively to contribute their efforts and skills.
- **Process:** The methods and systems used to coordinate activities and achieve goals.
- **Environment:** The external factors (economic, social, political, technological) that influence the organization.

Definitions of Organization

- *Organization is the form of every human association for the attainment of a common purpose.*
- **Mooney and Railey**
- *An organization is a system of consciously coordinated activities of two or more than two people.*
- **Chester Bernard**
- *Organization is a group of people working together in structured and coordinated fashion to achieve a set of goals.*
- **Ricky W. Griffin**



Characteristics of organization

- **Common Goal:** Organizations are formed to achieve specific, shared objectives.
- **Structure:** A defined framework of relationships among individuals and tasks. This includes division of labor, hierarchy of authority, and coordination mechanisms.
- **People:** A group of individuals who interact and collaborate to achieve organizational goals.
- **Deliberate Structure:** Organizations are consciously designed and maintained, not random gatherings.
- **Division of Labor:** Tasks are divided into smaller, specialized jobs to increase efficiency.
- **Hierarchy of Authority:** A chain of command that defines reporting relationships and levels of authority.
- **Coordination:** Processes and mechanisms to integrate the activities of different individuals and departments to ensure unified effort.
- **Communication:** The flow of information between different parts of the organization.
- **Rules and Regulations:** Formal or informal guidelines that govern behavior and decision-making.

2.3. Principles of organization

- *Division of Labor/Specialization*
- *Unity of Command*
- *Hierarchy/Scalar Chain*
- *Authority and Responsibility*
- *Span of Control*
- *Centralization and Decentralization*
- *Coordination*



- *Communication*
- *Flexibility*
- *Equity*
- *Order*
- *Initiative*
- *Esprit de Corps/Team Spirit*
- *Stability of Tenure of Personnel*



2.3. Principles of organization

- **Principle of Objective:** Every part of the organization should contribute to the overall objectives.
- **Principle of Specialization (Division of Work):** Dividing work based on skills and expertise leads to efficiency.
- **Principle of Authority and Responsibility:** Authority (the right to give orders) should be commensurate with responsibility (the obligation to perform assigned tasks).
- **Principle of Unity of Command:** Each subordinate should report to only one superior to avoid confusion and conflicting instructions.
- **Principle of Scalar Chain (Hierarchy):** A clear line of authority should extend from the top to the bottom of the organization.
- **Principle of Span of Control:** There is a limit to the number of subordinates a manager can effectively supervise.

- **Principle of Centralization and Decentralization:** Decisions can be concentrated at the top (centralization) or dispersed throughout the organization (decentralization), depending on the context.
- **Principle of Order:** A systematic arrangement of people and materials in the right place at the right time.
- **Principle of Equity:** Fair and impartial treatment of all employees.
- **Principle of Initiative:** Encouraging employees to take initiative and contribute ideas.
- **Principle of Esprit de Corps (Team Spirit):** Promoting harmony and cooperation among employees.
- **Principle of Flexibility:** The organization should be adaptable to changes in the environment

2.4. Formal and informal organizations

Formal Organization:

- Structured entities established by management to achieve specific goals, governed by rules and regulations.
- **Characteristics:**
 - Defined hierarchy and roles.
 - Official communication channels.
 - Focus on authority and responsibility.

Types:

- **Hierarchical Organizations:** Traditional structure with a clear chain of command.
- **Matrix Organizations:** Employees report to multiple managers, promoting flexibility.
- **Flat Organizations:** Fewer levels of management, encouraging employee empowerment.



Informal Organizations

- **Definition**
- Spontaneously formed groups based on personal relationships and social interactions among employees.
- **Characteristics:**
 - Fluid and flexible structure.
 - Based on personal connections and common interests.
 - Informal communication often occurs through social networks (grapevine).

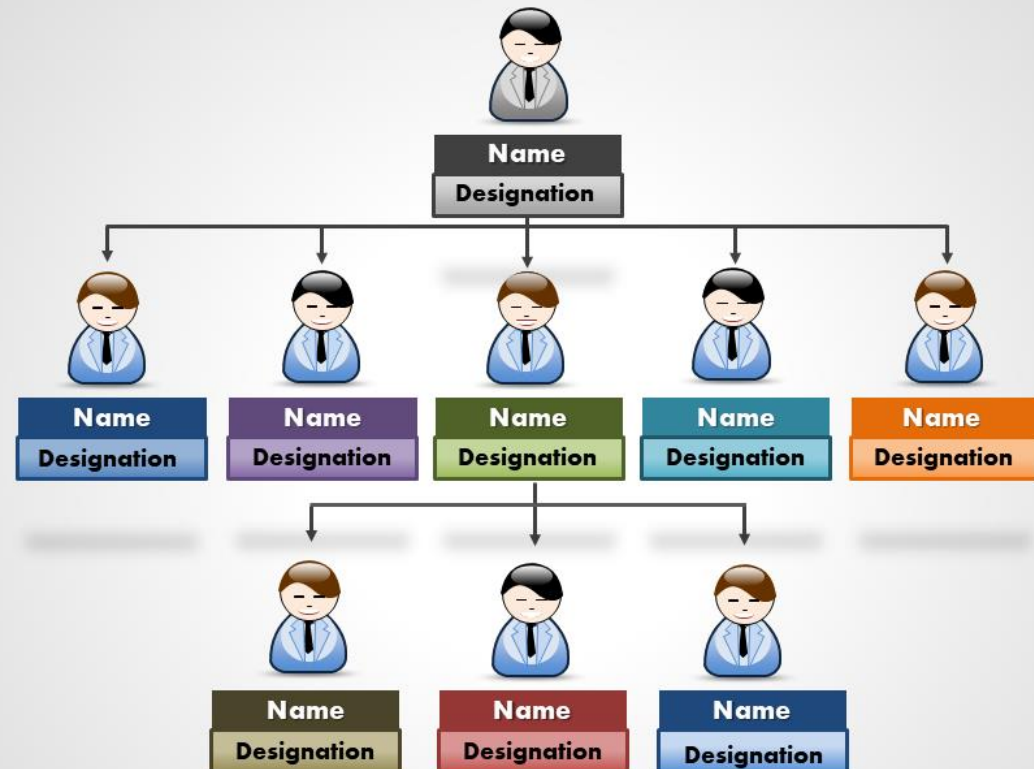


- **Types:**
 - **Friendship Groups:** Formed based on personal relationships.
 - **Interest Groups:** Arise from shared interests or hobbies.
 - **Work Teams:** Informal collaborations that may cross departmental lines.

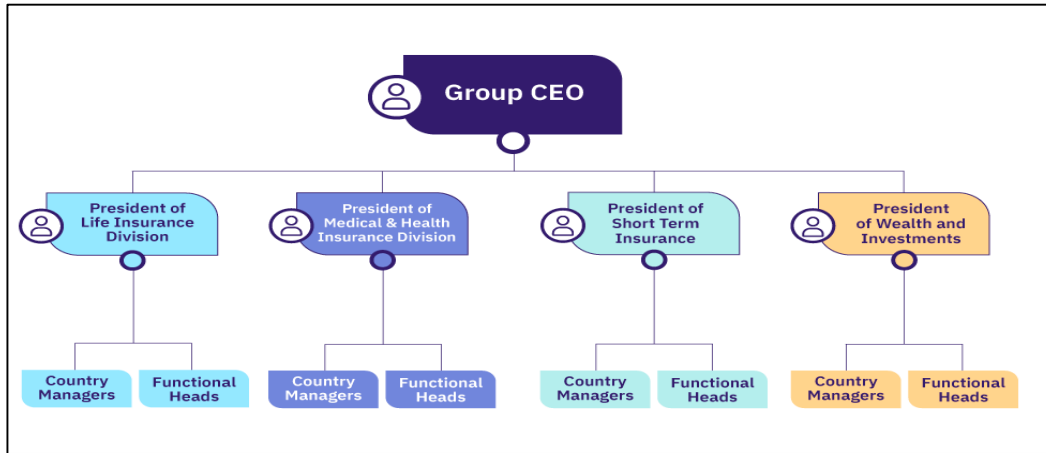
2.5 Organization Chart

- A **visual diagram** showing the structure, positions, and relationships within an organization.
- An organization chart, also known as an organogram, is a diagram that visually represents the structure of an organization.
- It outlines the roles, responsibilities, and relationships between individuals within the organization.
- Shows lines of authority, communication, and responsibility.

Organization Chart



- **Vertical Chart:**



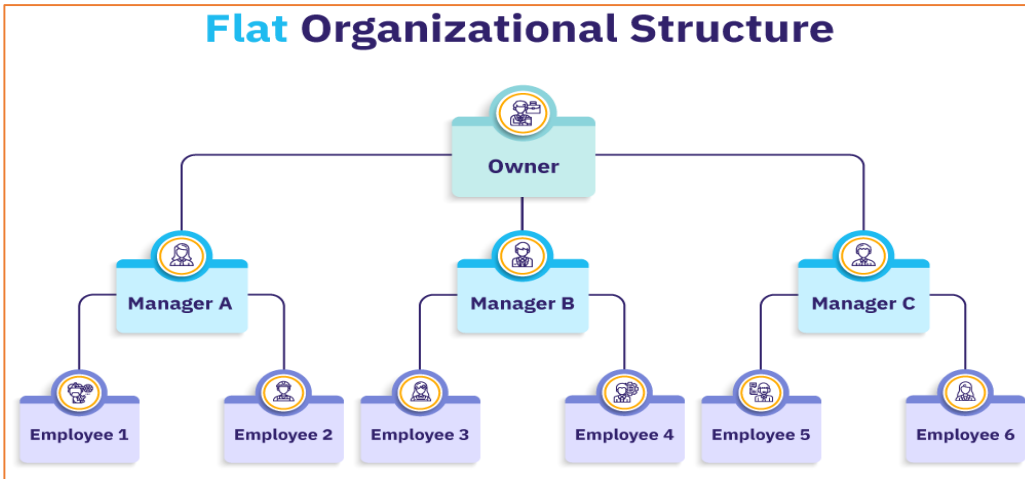
- **Vertical Chart:**

- *Top-down structure (e.g., CEO at top → Managers → Employees).*

- **Horizontal Chart:**

- *Structure shown left to right (suitable for smaller or project-based organizations).*

Flat Organizational Structure

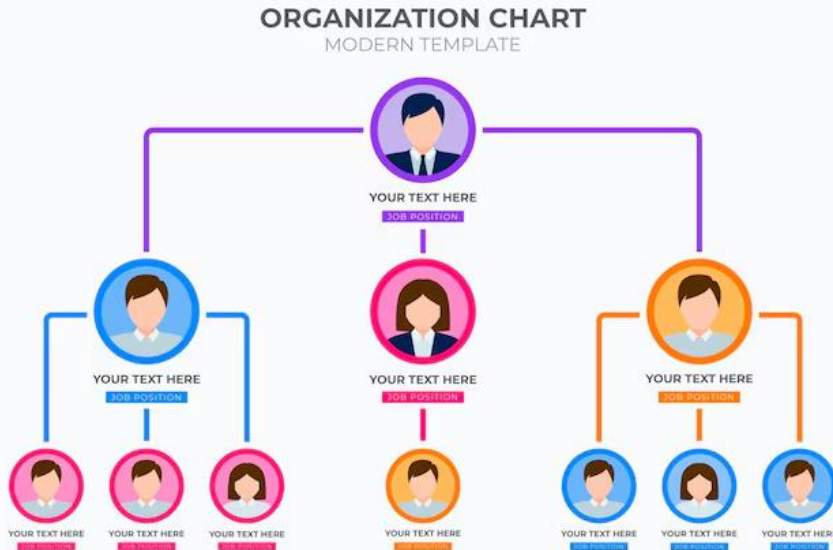


- **Circular Chart:**

- *Central figure in the middle with branches spreading out (good for team-based organizations).*

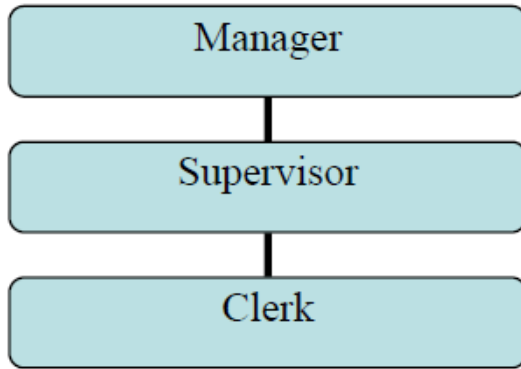


Importance of Organization Chart



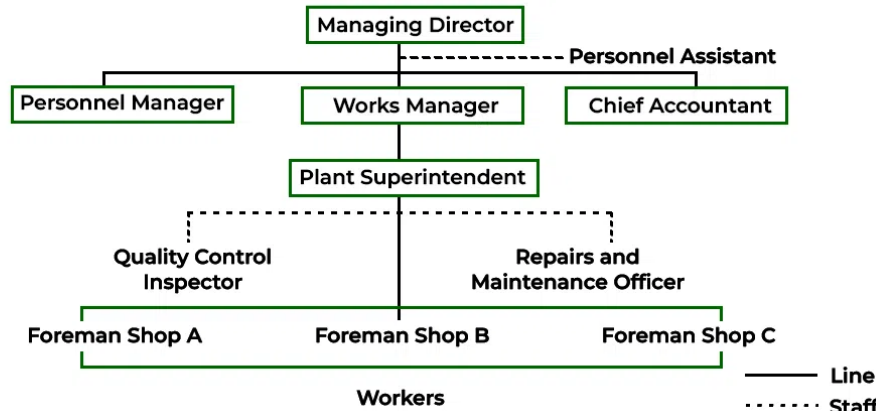
- Easy to understand the structure.
- Defines clear authority and reporting lines.
- Helps in identifying roles and gaps.
- Assists in managing workforce efficiently.

2.6 Types of Organization

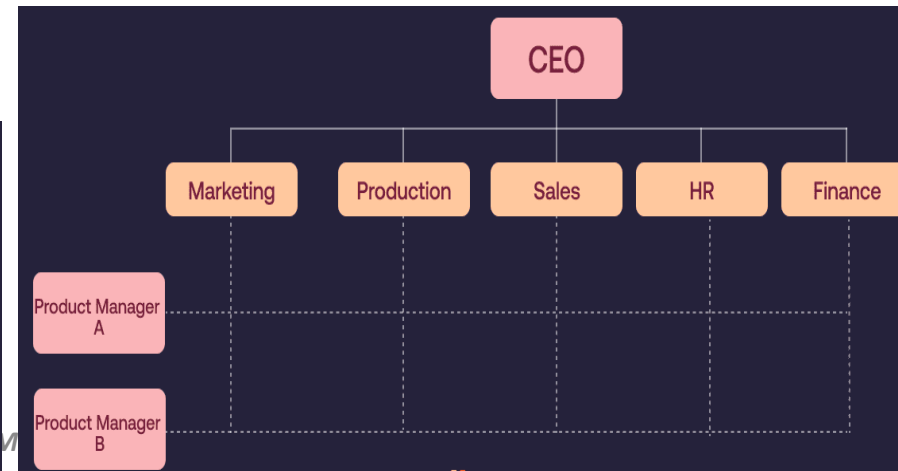
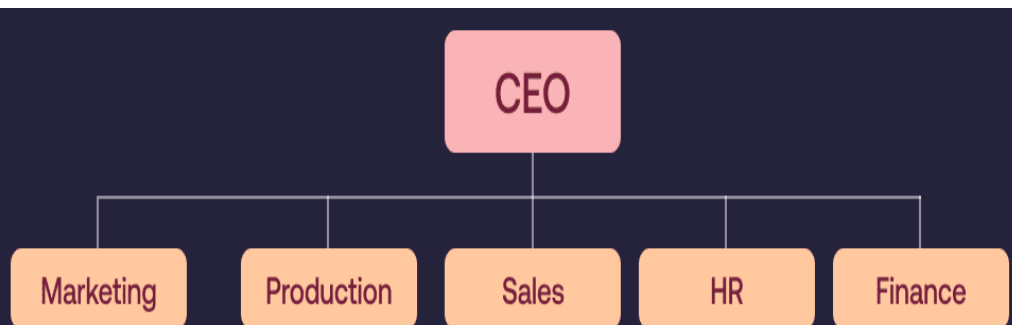


- **Line Organization:** Direct, vertical flow of authority (simple and oldest type).
- **Line and Staff Organization:** Line managers make decisions; staff offer advice and support.
- **Functional Organization:** Employees are divided based on specialized functions (e.g., *finance, marketing*).

Line and Staff Organisation



Matrix Organization: A hybrid model where employees report to two bosses — functional manager and project manager.



Line Organization

- Simple, direct chain of command.
- Authority flows from top to bottom.
- Example: ***Small manufacturing units.***

Line and Staff Organization

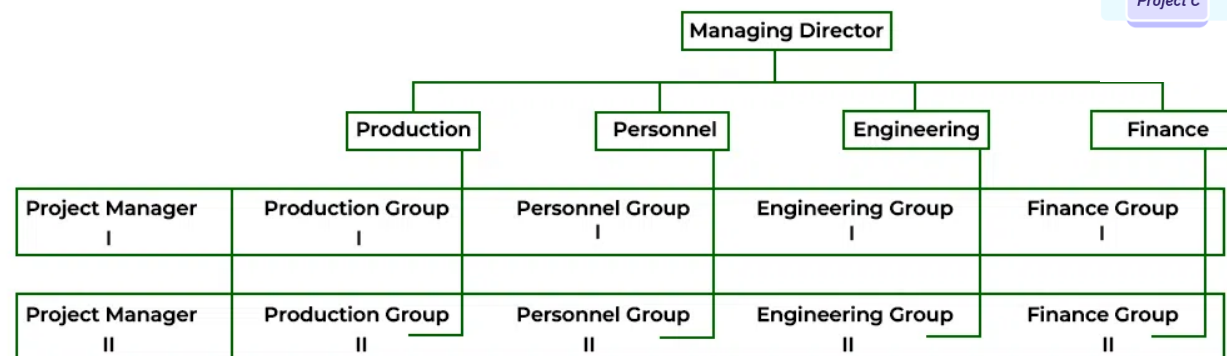
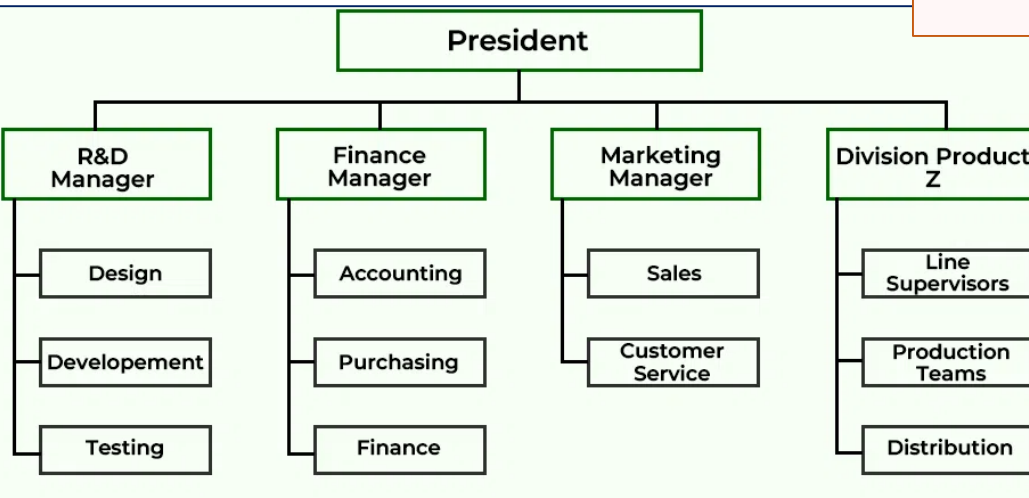
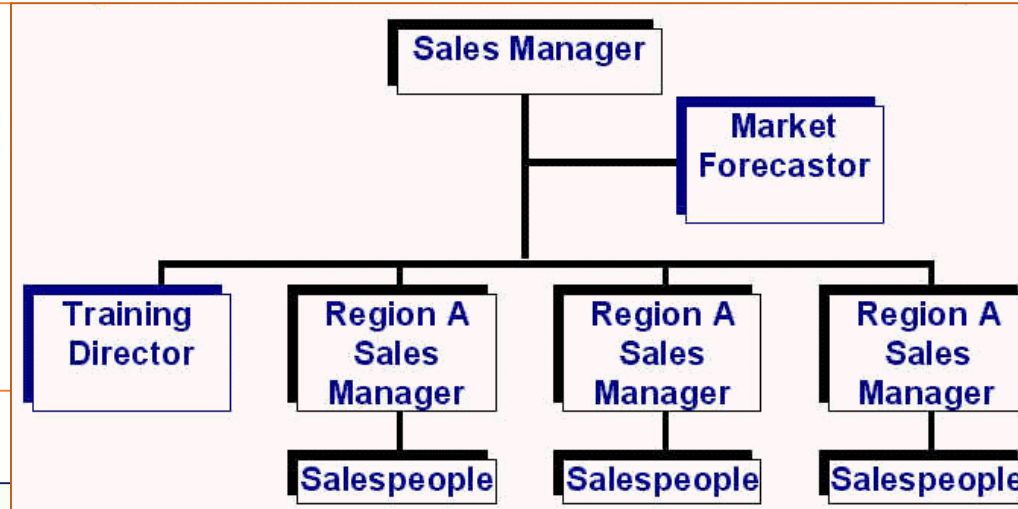
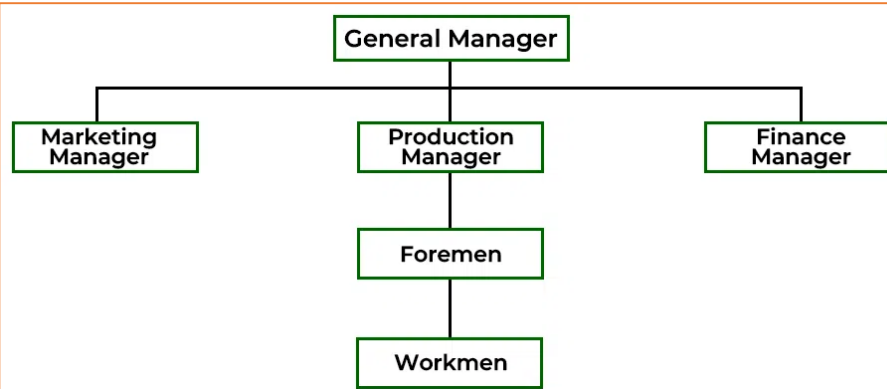
- Line managers have direct control.
- Staff specialists provide advice and support.
- Example: ***Large corporations with HR, Legal, Finance departments.***

Functional Organization

- Work divided based on functions like marketing, finance, production.
- Employees report to multiple managers.
- Example: ***Multinational corporations.***

Matrix Organization

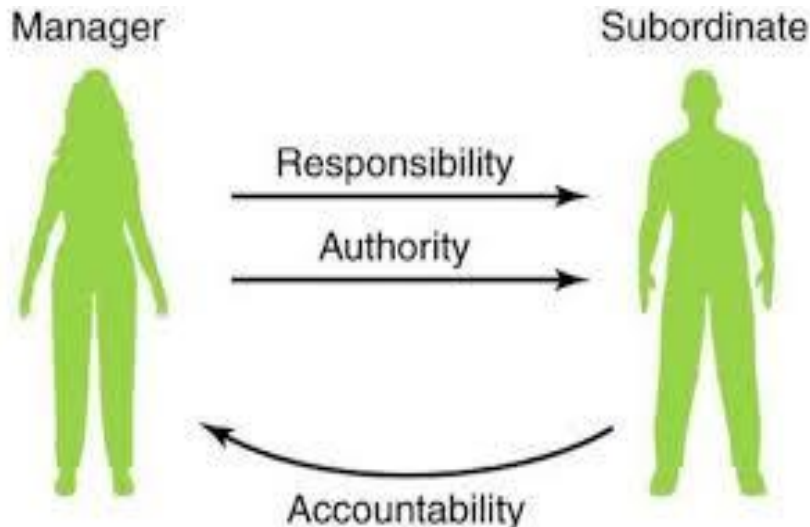
- Combination of functional and project-based structures.
- Employees have dual reporting relationships (functional manager and project manager).
- Example: ***IT companies, Construction companies.***



2.7. Authority and responsibility and their interrelationships

Authority:

- **Authority** is the **legal or official power** to give orders, make decisions, and control resources.
- It allows a manager to **direct the actions** of subordinates.
- **Example:** A manager has authority to assign tasks to employees.



Responsibility:

- **Responsibility** is the **obligation** to perform assigned tasks correctly and effectively.
- It is the **duty** to complete work as expected.
- **Example:** An employee is responsible for completing the report assigned by the manager.

Interrelationship between Authority and Responsibility

- **Balance Needed:**

- *Authority and responsibility must go together.*
- *If a person has **authority without responsibility**, they might misuse power.*
- *If a person has **responsibility without authority**, they cannot complete tasks properly.*

- **Delegation:**

- *When managers delegate tasks, they must also delegate enough authority to complete those tasks.*

- **Accountability:**

- *Even if authority is delegated, the person who assigned the task (manager) is still accountable for the results.*

- **Authority**

- **Definition:** The power or right to make decisions, give orders, and enforce obedience.
- **Example:** *A manager has the authority to assign tasks to team members and make hiring decisions.*

- **Responsibility**

- **Definition:** The obligation to perform assigned tasks and duties.
- **Example:** *An employee is responsible for completing a project by the deadline and ensuring its quality.*

- **Accountability**

- **Definition:** The obligation to report on the outcomes of responsibilities and to accept the consequences of one's actions.
- **Example:** *A project leader is accountable for the project's success or failure and must explain the results to upper management.*